

Unit 3 – Section 3: Decision-Making Techniques

Exam Patterns & Trends (2019 – 2025)

Overview of Exam Patterns

Mark Type	Typical Command Words	Frequency	Focus Areas
4 marks	Define / Calculate / Explain	Every Paper	Calculation or definition-based questions (e.g., payback, EMV, float, correlation).
8 marks	Assess	Frequent	Two developed, balanced points on usefulness or limitations of decision tools.
12 marks	Discuss	Frequent	Application of quantitative tools to real business context; balanced reasoning.
20 marks	Evaluate	Every Paper	Comprehensive evaluation of decision-making methods, reliability, and managerial implications.

AO Weighting: AO1 (20%), AO2 (25%), AO3 (25%), AO4 (30%)

Topic Trend Analysis (2019 – 2025)

Topic	Year & Question Reference	Command Words	Trend Summary
Quantitative Sales Forecasting (QSF)	2020 Jan Q1a, 2022 Jun Q1b, 2024 Oct Q2a	Explain / Assess	Frequently appears in 4–8 mark tasks;

			focuses on moving averages, correlation, and limitations.
Investment Appraisal	2019 Oct Q3, 2021 Jan Q2b, 2023 Jan Q2	Calculate / Evaluate	High-frequency; includes both numerical (ARR, Payback) and evaluation-based NPV questions.
Decision Trees	2020 Jun Q3, 2022 Jan Q3	Explain / Discuss	Often a mid- to high-mark question; examines EMV calculations and decision reliability.
Critical Path Analysis (CPA)	2019 Oct Q2b, 2021 Jun Q1, 2023 Jun Q3	Construct / Evaluate	Appears regularly as a 4–20 mark question; focuses on network diagrams, float, and efficiency.
Contribution & Special Orders	2020 Oct Q2c, 2024 Jun Q1b	Explain / Assess	Common in 8–12 mark questions; assesses short-term decision-making and cost relevance.

Predicted Focus for Jan 2026 Exam

Predicted Topic	Mark	Command Word	Likely Context
Investment Appraisal	20	Evaluate	Evaluate whether NPV provides the most reliable investment decision-making method for multinational firms like Apple.
Decision Trees	12	Discuss	Discuss whether decision trees are more effective than intuition in

			managerial decision-making.
Critical Path Analysis	8	Assess	Assess the usefulness of CPA in improving efficiency for complex projects.
Quantitative Sales Forecasting	4	Explain	Explain one limitation of using quantitative sales forecasting for fast-changing markets.
Contribution & Special Orders	8	Assess	Assess whether accepting special orders improves business performance in the short term.

Teacher Revision Tips

- Prioritise numerical question practice for 4-mark and 8-mark topics (ARR, EMV, Float).
- Encourage formula memorisation and structured workings.
- Use mini case studies: e.g., “Greggs expansion decisions” or “Apple investment choices.”
- Link Section 3 to Unit 2 finance concepts and Unit 3 Section 2 growth topics.
- 20-mark questions demand judgement under uncertainty — teach “depends on...” and long-term vs short-term perspectives.

Key Takeaways

- Every exam includes at least one quantitative method question.
- Investment Appraisal and CPA are most frequent high-mark topics.
- QSF and Decision Trees dominate mid-mark questions.
- AO4 evaluation scores come from analysing limitations and context dependency.
- Jan 2026 is likely to feature Investment Appraisal (20 marks) and Decision Trees (12 marks) together.